



AI with Rav

Learn AI the way you actually think.



DAY 5 of 30

HACKATHONS

ROAS looks great. ROI decides.

WHAT YOU'LL LEARN TODAY

- > What ROAS actually measures
- > Why margin changes everything
- > The campaign that looked good and was not
- > Which number to put on screen



ROAS looks great. ROI decides.

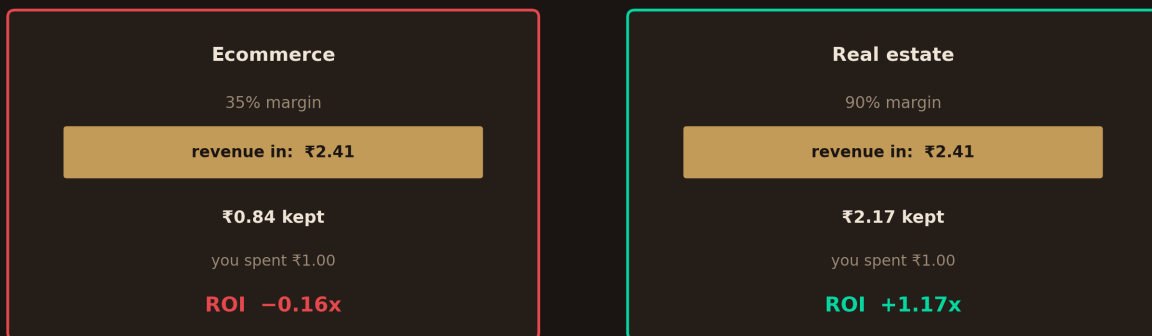
In One Line: ROAS counts the money coming in. ROI counts what you keep. Only one of them pays salaries.

Two numbers, one campaign

ROAS = revenue ÷ ad spend. Simple, and always flattering.

ROI (contribution) = (revenue × margin – spend) ÷ spend. This is the one the business actually feels.

IDENTICAL 2.41x ROAS · OPPOSITE OUTCOMES



ROAS counts money coming in. ROI counts what you keep.

Same 2.41x ROAS. Thin margin keeps almost nothing; fat margin keeps most of it.

The example that made it obvious

An ecommerce campaign in my app: **2.41x ROAS**. Spend ■1, get ■2.41 back.

Looks like a win.

Ecommerce gross margin is about **35%**. So of that ■2.41, you keep about ■0.84 — and you spent ■1.00 to get it.

Contribution ROI: -0.16x. The campaign lost money while its headline number looked healthy.

The same ROAS, a different business

Real estate runs near **90%** margin, because the product is a brokerage fee, not



goods you had to buy.

The identical 2.41x ROAS there keeps ■2.17 against ■1.00 spent — genuinely profitable. Same ratio, opposite outcome.

What to show

Show both, and say which one you are judging on.

A dashboard that shows only ROAS is not wrong. It is just showing the number that is hardest to fail.

Next video: why your progress bar is lying to your audience.

